

twenty-five credit card bills plus her other living expenses. By the time she finished, Stacey had writer's cramp from filling out and signing so many checks in addition to a general feeling of nausea over giving away almost her entire paycheck.

When she had bought her first townhouse two years ago, she knew she could afford the mortgage, but never considered the other expenses that a homeowner encounters. She was so excited that, at the age of twenty-four, she actually qualified for such a purchase that she rushed into it before the bank changed its mind. So when she didn't have the cash and needed furniture, she charged it. Stacey charged her property taxes and the repairs on a leaky roof. Before Stacey realized it, she had accumulated twenty-five credit cards.

One evening, Stacey was watching television and saw a commercial that promised to consolidate existing debts into one easy monthly payment. The thought of not having to write out twenty-five checks each month was very tempting to her so she called for further information. Stacey was sent an application form for a debt consolidation loan.

The lender, ABC Consolidation Company, ended up approving her, but explained that since her credit rating was not very good, due to being overextended and making numerous late payments, the company could only offer her a secured loan. Stacey didn't know what a secured loan was so ABC explained that she needed to guarantee this loan with an asset like a car or home. ABC went on to explain that with a home equity loan, the interest would be tax deductible.

This sounded like a good deal to Stacey so she decided to accept their home equity loan. Besides, the interest rate was much lower than the average rate on her credit cards. It seemed like a smart money move to use a lower interest rate loan to pay off her higher interest rate credit cards. Stacey deposited this large check and promptly paid off all of her

